

City of Davao and Tanjili v. ARC Investors, Inc., G.R. No. 249668 (July 13, 2022)

Case ID: DAVAO-TIER3-03 | **Ordinance:** Ordinance No. 158-05 §135 (2005)

Judicial Ruling: Ultra Vires Assessment Struck Down (Unauthorized Reclassification of Holding Firm as NBFi)

Superior National Law: Republic Act No. 7160 §133(a), §143(f); Republic Act No. 8791 §3

Gold NLI Conflict Classification: Contradiction

Operative Sections & Judicial Text:

SECTION 1. TITLE:

This Ordinance shall be known and cited as the '2005 Revenue Code of the City of Davao'.

SECTION 135. TAX ON FINANCIAL INSTITUTIONS AND HOLDING CORPORATIONS:

Imposes local business taxes on banks, banking institutions, and holding entities receiving dividend income and investment interest, categorizing corporate holding firms as non-bank financial intermediaries.

STATUTORY COLLISION:

Violates Section 143(f) of Republic Act No. 7160 in relation to Section 3 of Republic Act No. 8791. LGUs possess no legal authority to reclassify a passive holding company as a non-bank financial intermediary without express Bangko Sentral ng Pilipinas authorization.